



Public Competition Assessment

5 September 2025

Brookfield Renewable Holdings SAS – proposed acquisition of Neoen SA

The ACCC's decision

1. On 31 October 2024, the Australian Competition and Consumer Commission announced its decision not to oppose the proposed acquisition of Neoen SA (**Neoen**) (the **proposed acquisition**) by a consortium led by Brookfield Renewable Holdings SAS (**Brookfield BidCo**) after accepting a section 87B undertaking from Brookfield Renewable Group Australia Pty Ltd and Bernabeu Master UK Holdings Limited, as it was known at the time of the acquisition (the **Undertaking**).¹
2. The Undertaking requires the divestment of Neoen's existing Victorian renewable electricity generation and storage assets and Neoen's development projects in Victoria.
3. The ACCC was concerned that absent the Undertaking, the proposed acquisition was likely to substantially lessen competition in contravention of section 50 of the *Competition and Consumer Act 2010* (the **Act**). Section 50 prohibits acquisitions that would have the effect, or be likely to have the effect, of substantially lessening competition in any market. The ACCC considers that the Undertaking sufficiently addresses the competition concerns such that the proposed acquisition is unlikely to contravene section 50 of the Act.
4. Brookfield BidCo was established by Brookfield Renewable Power and Transition (**Brookfield Renewable**), a business unit of Brookfield, a global asset management company. Brookfield Renewable owns interests in X-Elio and TransAlta, which own renewable generation assets and gas fired power stations in Australia.
5. Brookfield Infrastructure, another business unit of Brookfield, has an interest in AusNet which owns and operates electricity networks in Victoria.
6. Neoen, a French company, owns and operates renewable generation assets in 16 countries globally, including in Victoria as well as other parts of Australia.

¹ All information on the merger parties' and other relevant parties' activities and interests in this Public Competition Assessment is as at the date of the ACCC decision (31 October 2024).

7. The ACCC considered the competitive effects of the proposed acquisition in the markets for:
 - wholesale electricity generation and supply in Victoria
 - wholesale electricity generation and supply in the National Electricity Market (**NEM**)
 - electricity generation and supply markets in Western Australia
 - the supply of Frequency Control Ancillary Services (**FCAS**) in Victoria and/or a broader group of National Electricity Market regions, particularly Very Fast FCAS (**VF FCAS**)
 - the supply of new renewable generation in Victoria
 - the supply of new firming capacity and new electricity storage services in Victoria.
8. AusNet (in which Brookfield Infrastructure has a 45.4% interest) is the monopoly owner and operator of the electricity transmission network in Victoria.
9. Neoen has three operating renewable electricity assets and six development projects in Victoria.
10. The ACCC considered that, post-acquisition, Brookfield, through its interest in AusNet, would have the ability and incentive to foreclose the rivals of Neoen by:
 - delaying, and/or increasing the costs of, connecting new generation and/or storage assets to AusNet's transmission network, and/or
 - influencing AusNet to operate its transmission network to benefit Brookfield owned generation and storage assets.
11. Such a foreclosure strategy would risk substantially lessening competition in the supply of wholesale electricity in Victoria and, in particular, in the supply of renewable generation.
12. The ACCC considered that the divestiture of Neoen's operating assets and development projects in Victoria pursuant to the Undertaking will address its competition concerns with the proposed acquisition. This is because the acquisition of Neoen's Victorian development projects and its operating assets by a purchaser approved by the ACCC will:
 - reduce the incentive for Brookfield to influence AusNet in a way that would discriminate against and foreclose Neoen's rivals, and
 - ensure that competing generators are able to fairly compete with Brookfield in the future.
13. Please note that this and other public competition assessments are subject to the following qualifications:
 - The ACCC considers each transaction on a case-by-case basis and so the analysis and decision outlined in one assessment will not necessarily reflect the ACCC's view of another transaction.

- As assessments are relatively brief and do not refer to confidential information, assessments do not necessarily set out all of the issues and information considered by the ACCC.

The parties and the transaction

The acquirer: Brookfield

14. Brookfield is a global asset management company with over US\$900 billion assets under management (at the time of the ACCC's assessment).
15. It is organised into six business units: Renewable Power and Transition (Brookfield Renewable), Infrastructure (Brookfield Infrastructure), Private Equity, Real Estate, and Credit and Insurance Solutions. Post-completion, Brookfield's interest in Neoen will be majority controlled by Brookfield Renewable.

Brookfield Renewable

16. Brookfield Renewable has a 13.04% interest in TransAlta, a company that develops and operates generation assets in the US, Canada and Australia. TransAlta currently holds interests in four generation assets in Western Australia.
17. Brookfield Renewable also directly develops a small number of renewable energy projects and owns X-Elio, a global renewable energy developer, based in Spain. At the time of the ACCC's assessment, X-Elio had a further 12 projects in its development pipeline in Australia. Of these, three are in Victoria and are due to be in operation from late 2026 to 2027.

Brookfield Infrastructure

18. Brookfield Infrastructure has a 45.4% interest in AusNet. AusNet is the monopoly owner and operator of the Victorian electricity transmission network, and one of the five electricity distribution networks in Victoria. It also has two batteries in operation in Victoria, with another two in varying stages of development.
19. AusNet has a development and future networks business which provides services to support the development and management of electricity infrastructure and installations. This business provides contestable transmission network connections and augmentation.

The target: Neoen

20. Neoen is a French public company. It specialises in the development, construction, financing, operation, and management of renewable energy projects. It operates in 16 countries including: Australia, Canada, Finland, France, Germany, Ireland, Mexico and Zambia.
21. At the time of the ACCC's assessment, Neoen had approximately 8.0GW of assets in operation or under construction.

22. In Australia, Neoen had ~1.8GW of operating generation (wind and solar) and storage assets. It also had a development pipeline of projects amounting to ~10 GW. In Victoria, Neoen had ~2.1GW of pipeline projects and ~500MW of operating assets in Victoria.

The transaction

23. On 29 May 2024, Brookfield entered into exclusive negotiations to acquire 53.32% of the issued shares in Neoen SA from several independent sellers (the **Block Acquisition**). Following completion of the Block Acquisition, Brookfield proposes to launch a mandatory simplified tender offer for the remaining securities issued by Neoen (together with the Block Acquisition, this is the proposed acquisition). Following completion of the proposed acquisition, the Brookfield consortium would have 100% of the issued shares in Neoen SA.

Market inquiries

24. The ACCC conducted market inquiries with a range of industry participants, including competitors, potential competitors, customers, input suppliers, industry bodies and other interested parties. Submissions were sought in relation to the potential competition issues arising from the proposed acquisition.
25. The ACCC also conducted market consultation on the proposed divestment. The ACCC obtained confidential information and documents from the merger parties and interested parties.

Industry background

26. AusNet owns and operates the monopoly electricity transmission network in Victoria. It also owns and operates one of the five electricity distribution networks in Victoria. While AusNet is the monopoly owner of the shared transmission network owner in Victoria, unlike other states in the National Electricity Market (**NEM**), it is not also the transmission planner. Currently, the Australian Energy Market Operator (**AEMO**) is the transmission planner for Victoria, responsible for planning and directing augmentation of the transmission network.
27. In its operation and maintenance of the Victorian transmission network, AusNet is principally required to:
- (a) manage, maintain and operate the network to enable continuous transfer of electricity to each connection point, to minimise the number of interruptions and to restore supply promptly
 - (b) connect and disconnect generating units, grid-scale batteries or loads from or to the transmission network, at AEMO's direction or on AusNet's own initiative
 - (c) operate the Victorian transmission network in accordance with instructions given by AEMO and provide shared network capability services as required under its Network Services Agreement with AEMO

- (d) comply with the bushfire mitigation and other safety obligations under the Electricity Safety Act 1998 (Vic)
 - (e) comply with the obligations imposed under its electricity transmission licence (issued by the Essential Services Commission of Victoria).
28. In Victoria, the functions of the transmission provider in relation to new connections are divided between AEMO and AusNet, so that:
- (a) AEMO is responsible for assessing and negotiating the technical and system strength requirements for the applicant's proposed connection
 - (b) AusNet is responsible for negotiating the physical connection and augmentation works for the connection (except to the extent that some connection works are carried out contestably by a third-party provider) and then for constructing or upgrading the connection assets and operating and maintaining those assets (again, except to the extent some work is carried out by a third-party provider).
29. Some connection services are contestable, e.g. if the works will have a capital cost of more than \$10 million and are separable from the shared transmission network. In practice, every connection application will involve a non-contestable component, as electrical 'cut in' works to the shared network are always necessary.

VicGrid

30. In 2023, the Victorian government introduced a new regulatory framework for the planning and development of transmission infrastructure in Victoria to achieve net-zero emissions targets.
31. This involved the creation of a new entity, VicGrid, that will take on some of AEMO's roles in Victoria. We understand that some of AEMO's role in connections in Victoria is likely to move to VicGrid. At the time of our review, VicGrid had not yet taken on the connections role in Victoria.

AER's Transmission Ring-fencing Guideline

32. The Australian Energy Regulator (AER), under the National Electricity Rules, publishes a Transmission Ring-fencing Guideline. This Guideline seeks to prevent transmission providers from using their position as monopoly providers of prescribed transmission services to distort outcomes in contestable markets. The Guideline seeks to prevent:
- (a) cross-subsidisation, that is, using revenues from prescribed transmission services to subsidise the transmission provider's activities in contestable markets
 - (b) discrimination, where the transmission provider uses its monopoly position in regulated markets (or information obtained in those markets) to favour itself or to discriminate against a competitor in contestable markets.
33. Prescribed transmission services are shared services provided via the transmission network that are paid for by all end users. At the time of our review,

the Guideline did not cover negotiated transmission services or connection services which are paid for by individual connecting parties.

Competition analysis

34. The ACCC considered whether the proposed acquisition would be likely to result in a substantial lessening of competition in any relevant market via:
- (a) horizontal unilateral effects, or
 - (b) vertical effects.

Market definition

35. Market definition is a tool that helps identify and assess the competitive constraints that the merged entity would face. Determining the relevant market(s) requires us to judge whether, for example, two products are sufficiently close substitutes as a matter of fact and commercial common sense to fall within the same market.
36. We define markets in the way that we consider best isolates the key competition issues that arise from a merger. In many cases, this may not require us to precisely define the boundaries of a market. What matters is that we consider all relevant competitive constraints, and the extent of those constraints. For that reason, we also consider products and services that fall outside of the market, but which could still impose some degree of competitive constraint on the merged entity.
37. The ACCC considered the likely competitive effects of the Proposed Acquisition on markets for:
- wholesale electricity generation and supply in Victoria
 - wholesale electricity generation and supply in the National Electricity Market (NEM)
 - electricity generation and supply in Western Australia
 - the supply of Frequency Control Ancillary Services (FCAS) in Victoria and/or a broader group of National Electricity Market regions, particularly Very Fast FCAS (VF FCAS)
 - the supply of new renewable generation in Victoria, and
 - the supply of new firming capacity and new electricity storage services in Victoria.
38. However, the ACCC considered it was not necessary to precisely define the scope of the relevant markets.

Horizontal effects

39. Through Brookfield's interests in X-Elio, AusNet and TransAlta, Brookfield and Neoen overlap in the generation of electricity in the NEM. The ACCC therefore considered whether, post-acquisition, Brookfield may have a substantially

greater ability to profitably increase the prices it charges to supply electricity into the NEM.

40. The ACCC's inquiries confirmed the strong competition that Brookfield would face from other electricity generators, and so the ACCC concluded it would be unlikely that the merged entity would have a substantially greater ability to influence prices than absent the proposed acquisition.
41. As such, the ACCC considers that the proposed acquisition would not be likely to result in a substantial lessening of competition due to the overlap in the parties' generation activities in the NEM.

Vertical effects

42. The ACCC's competition concerns centred around the vertical links between AusNet (the Victorian transmission network operator) and Neoen that would arise from the proposed acquisition.
43. A merger may substantially lessen competition if it increases the merged entity's ability and/or incentive to prevent or hinder competition in downstream markets by refusing to deal with its downstream competitors, raising the prices it charges them, or decreasing the quality of service provided.
44. The ACCC considered whether, post-acquisition, Brookfield would have the ability and incentive to leverage its partial ownership of AusNet and influence AusNet to hinder, delay, or otherwise frustrate Neoen's rivals.
45. If the proposed acquisition gives Brookfield the ability and incentive to foreclose its rivals in either:
 - wholesale electricity generation and supply in the NEM, or
 - the supply of FCAS or VF FCAS,then electricity consumers (or taxpayers) could be harmed through higher prices and/or lower quality.
46. If, post-acquisition, Brookfield has the ability and incentive to leverage its ownership in AusNet to foreclose its rivals in the supply of new renewable generation or in the supply of new firming and storage services in Victoria, then the result could be less, or more expensive, renewable or firming generation or storage services in Victoria.

Ability to foreclose

47. The ACCC considered that, post-acquisition, Brookfield, through its interest in AusNet, would have the ability to influence AusNet to foreclose its rivals by delaying, or increasing the costs of, connecting new generation and/or storage assets to AusNet's transmission network. The ACCC was also concerned that Brookfield would have the ability to cause AusNet to operate its transmission network to benefit Neoen-owned generation and storage assets.
48. Market participants were of the view that this is something AusNet would be able to do and, in their views, owners of rival or new generators and storage assets or customers would find it hard to detect such conduct.

49. Brookfield submitted that, post-acquisition, it would not be able to engage in discriminatory conduct because it would be subject to a robust regulatory regime, including the AER's Transmission Ring-Fencing Guideline.
50. The ACCC considered the extent to which the existing regulatory regime could be relied upon to prevent such conduct. The ACCC decided that discriminatory conduct can be hard to identify, and rectify, particularly in a timeframe that would prevent a substantial lessening of competition. While regulation assists in limiting obvious discrimination, some discrimination would be difficult to detect and prevent.

Incentive to foreclose

51. The ACCC considered that, post-acquisition, Brookfield, through AusNet, would have an incentive to delay, or increase the costs of, connecting participants who seek to use alternative suppliers of contestable transmission services.
52. The ACCC considered that the proposed acquisition would increase Brookfield's incentives to engage in such conduct. This is because delaying connections or increasing the prices AusNet charges to Neoen's competitors would make Neoen a relatively more attractive option for tenders, as it will be able to offer quicker delivery and/or lower costs than its competitors.²
53. The ACCC was also concerned that Brookfield would be able to influence AusNet to operate its transmission network to benefit Neoen's generation and storage assets.
54. Any attempt to foreclose or strategically reduce the quality or reliability of its rivals' connections could inflict modest risks to Brookfield's regulated revenue from AusNet. However, the benefits of any such actions for Brookfield's non-regulated assets could well be significant.

Effect of foreclosure

55. The partial, or total, foreclosure of Neoen's competitors in the supply of new renewable generation or new firming generation and storage services in Victoria would significantly impact competition, enabling Neoen to profitably increase its tender prices. This could lead to higher prices for government and private acquirers of storage and renewable energy services in Victoria.
56. The operation of AusNet's transmission network to benefit Neoen's generation and storage assets could lead to higher prices for, or lower supply of, electricity, FCAS and/or VF FCAS to the ultimate detriment of electricity consumers in Victoria and potentially other National Electricity Market regions.

Undertaking

57. To address the ACCC's competition concerns, Brookfield offered an undertaking pursuant to section 87B of the Act.
58. Pursuant to the Undertaking, Brookfield is required to divest the following assets to an ACCC-approved purchaser:

² We consider that these price/quality levels may still be beyond a competitive level.

- (a) Neoen's Victorian operating assets, consisting of 3 assets totalling 625MW of installed wind, solar and BESS capacity, and
 - (b) Neoen's Victorian development pipeline, consisting of 6 projects totalling 2.8GW of wind and battery energy storage system capacity.
59. The ACCC considers that a divestiture as provided for by the Undertaking will sufficiently address the competition concerns that have been identified with the proposed acquisition, as set out above.
60. A copy of the Undertaking is available on the ACCC public informal merger reviews register and section 87B undertakings register.

Conclusion

61. The ACCC considers that the Undertaking addresses the competition concerns such that, with the Undertaking, the proposed acquisition would not have the effect, nor be likely to have the effect, of substantially lessening competition in any market.